

25% (the prior row).

Standard & Poor's 500 change. I show how the index performed using the same hold time from the breakout to the ultimate low. The V-top pattern outperforms the index by a wide margin.

You can think of the results as how much of a push the general market lends to patterns. It's a big push in bear markets (7% downward) but smaller in bull markets (2% downward).

Days to ultimate low. Price bottoms quickly after downward breakouts. In about 3 weeks, the drop has ended. Imagine making 25% in 19 days. Nice. Of course, those numbers are averages and that's if you trade the pattern perfectly and frequently. In fact the drop in bear markets is 1.8 times as fast as in bull markets according to the numbers in the table.

How many change trend? This is a measure of how many V-tops see price drop more than 20%. It favors upward breakouts, which can be unlimited. Downward breakouts can lose only 100% of their value.

The table shows the penalty a trader faces when trading against the market trend. By that I mean trying to short in bull markets. Just 29% of the V-tops see price drop more than 20%. In bear markets the result is nearly double the bull market result.

[Table 71.3](#) shows failure rates, and it's an exciting list of numbers! Well, maybe I exaggerate.

I consider a chart pattern a failure if price can't drop more than 5% after the breakout. For the V-top, we see that 29% qualify for dud status in bull markets. Over half (60%) of V-tops will fail to see price drop more than 15% in bull markets. The numbers suggest, perhaps strongly, that one should only trade a V-top in bear markets and then only if you know what you're doing.

Let me show how this table is useful. Let's say the measure rule picks a target \$5 below the current price of \$50. That's a 10% drop. How many V-tops will fail to see price drop more than 10%? Answer: almost half, or 47% in bull markets. That's a huge failure rate.

[Table 71.4](#) shows breakout statistics.